

CATHOLIC UNIVERSITY OF CENTRAL AFRICA
FACULTY OF SOCIAL AND MANAGEMENT
HISTORY OF ECONOMIC THOUGHT -BME 2

Time: 2hrs 30minutes
Proposed By Dr Fabien SUNDJO

EXERCISE 1 (15 marks): The earliest trade theory is not the classical trade theories but the mercantilist ideas. In the early 1700s, questions began to emerge regarding the logic of mercantilism. What is the Challenges to Mercantilism by Early Classical Writers as David Hume and Adam Smith? ✓

EXERCISE 2 (11 marks) : While the seminal work of Smith under the appellation of Absolute Advantage in his book entitled an inquiry into the nature and the causes of the wealth of nations (1776) continue to act as the bases of international trade, the appearance 1817 of the Principle of Comparative Advantage greatly indicate the Limits to Smith's thinking.

Adam Smith identify several sources of wealth, examine these sources (4 marks)

Give three reasons why division of labour will lead to increase in productivity (2 marks) ✓

Give two challenges face by Smith's thinking (4 marks).✓

EXERCISE 3 (17 marks): The Physiocrats have been regarded as the founders of economic science because they were the first to grasp the general principles under-lying the economic phenomena and to evolve a theoretical system. Physiocracy is also remarked as the first school of economic thought. The founder of this school are Richard Cantillon, Francois Quesnay and Turgot. As an expert in history of economic thought, answer the following questions.

What are the Factors That Gave Rise to Physiocracy school in France? (6 marks) ✓

What were the policy implication of the Physiocrats? (5 marks) ✓

What were the criticism to this school of thought? (6 marks) ✓

EXERCISE 4 (9 marks): State without explaining the three main authors that makes up the marginalists school of thought. Explain the main idea of the marginalists.

N.B Corruption starts when I spy my neighbour's writing paper, it is very possible to be corruption-free!

GOOD LUCK